

September 29, 2023

Federal Trade Commission
Office of the Secretary
600 Pennsylvania Avenue, N.W.
Suite CC-5610 (Annex F)
Washington, D.C. 20580

Reviews and Testimonials NPRM, R311003

Dear Madam Secretary:

The Association of National Advertisers (“ANA”) respectfully submits these Comments in response to the request by the Federal Trade Commission (“FTC” or “Commission”) for public comments on the FTC’s proposed Notice of Proposed Rulemaking (“NPRM” or “Proposed Rule”) on a Trade Regulation Rule on the Use of Reviews and Endorsements.¹

ANA’s mission is to drive growth for marketing professionals, for brands and businesses, and for the industry. Growth is foundational for all participants in the advertising and marketing ecosystem. ANA’s membership consists of more than 1,600 domestic and international companies, including over 1,000 client-side marketers and nonprofit fundraisers, and 600 marketing solutions providers (data science and technology companies, ad agencies, publishers, media companies, suppliers, and vendors). Collectively, ANA member companies represent 20,000 brands, engage 50,000 industry professionals, and invest more than \$400 billion in marketing and advertising annually.

I. INTRODUCTION: ROBUST AND EFFECTIVE ALTERNATIVES ALREADY EXIST, INCLUDING § 5 OF THE FTC ACT IN CONJUNCTION WITH THE ENDORSEMENT GUIDES

The FTC has been actively overseeing an evolving marketplace in which advertisers procure and present the opinions, beliefs, and findings of other people and entities to promote the advertiser’s goods or services (including by contrasting the benefits of the advertiser’s goods or services to those of competitors). Using its broad authority to regulate and prohibit advertising that is unfair or deceptive under Section 5 of the FTC Act, the FTC has brought enforcement actions against many companies engaging in deceptive acts and practices, and the FTC has addressed a great number of scenarios beyond the traditional presentation of an endorsement or testimonial in print, radio, or television advertising. The significant number of actions across a wide range of scenarios and marketing contexts has provided useful guidance to the advertising industry. The vast majority of marketers are aware of the issues and the reasons why and how the opinions, beliefs, and findings of third parties can mislead consumers in the marketplace as to the weight they should give such third-party statements.

¹ See Request for Public Comment, 16 CFR Part 465 (Fed. Trade Comm’n July 31, 2023) (“Comment Request”).

The FTC has also focused on the actions or omissions of advertisers and their agents. Where there has been an agency relationship, the FTC has ensured that its regulatory reach covers both the advertiser and the agency, and where appropriate, it has used its authority to place the agent itself under an order.² The FTC has also been helpful in developing guidance as to the sorts of actions that a responsible advertiser can take to minimize the likelihood that an agent or other contractual partner acts to deceive consumers in a material way.³ The FTC has even recognized that, in some circumstances in developing contexts, marketers can take intentional steps that are reasonably calculated to protect consumers but, despite those efforts, there can still be potential deception. In those circumstances, the FTC generally has taken a balanced approach that evaluates the steps taken and their reasonableness given the potential risks.⁴

Case-by-case enforcement has been the primary (though not the only) tool that the FTC has used to address the dynamic of third-party “voices” being controlled or manipulated for marketing purposes. The FTC’s Guides Concerning the Use of Testimonials and Endorsements (“Endorsement Guides”) have been one of the most widely used and often-discussed guides in the advertising industry. Moreover, the FTC just completed a full revision of the Endorsement Guides⁵ and it updated its business guidance (“What People are Asking”) to reflect the revised Endorsement Guides. It has published additional guidance documents for influencers; issued policy statements in related areas such as “native advertising”; disseminated Notice of Penalty letters to companies; and has integrated the principles embodied in the Endorsement Guides into other guidance, such as the Health Products Compliance Guidance. As the ANA has stated previously, these enforcement, policy, and public outreach efforts make a difference. They not only provide guidance for ANA members, who are generally focused on compliance with applicable laws, but also help to maintain a level playing field on which ANA members can fairly compete.

The FTC’s application of the Endorsement Guides to the area of customer reviews is relatively new, but already the FTC has begun robust enforcement.⁶ Furthermore, the attention focused on customer reviews in the newly revised Endorsement Guides has caused many companies, especially platforms that feature customer reviews, to invest massively in technologies that will help to address the issues identified by those platforms, advertisers, the Commission, and the public as roadblocks to the efficient and truthful use of customer reviews in U.S. commerce. Indeed, many of the technologies and strategies used by major platforms are working, as evidenced by the data collected pursuant to the ANPR. For example, Trustpilot in 2021 hosted about 46.7 million reviews globally, and it removed about 2.7 million fake reviews, indicating that the incidence level of detectable fake reviews was about 5.7%. Of the 46.7 million global reviews, less than 0.001% were deemed to be fake reviews in the United

² *Deutsch LA, Inc.*, 159 F.T.C. 1163, 1168–69 (2015).

³ *FTC’s Endorsement Guides: What People Are Asking*, Federal Trade Commission, <https://www.ftc.gov/business-guidance/resources/ftcs-endorsement-guides-what-people-are-asking>.

⁴ *Machinima, Inc.*, 142 F.T.C. 3090 (2015); *Closing Letter to Yaron Dori, counsel for Microsoft Corporation and Amy R. Mudge, Counsel for Starcom Media Vest Group*, Federal Trade Commission (August 25, 2016), https://www.ftc.gov/system/files/documents/closing_letters/nid/150902machinima_letter.pdf.

⁵ GUIDES CONCERNING USE OF ENDORSEMENTS AND TESTIMONIALS IN ADVERTISING, 16 CFR Part 255 (2023).

⁶ *See, e.g., FTC v. Roomster Corp.*, No. 1:22–CV–07389 (S.D.N.Y. Aug. 30, 2022) (alleged purchase and sale of fake app store and other reviews for room and roommate finder app and platform); *see also* other enforcement actions set forth in the Comment Request, 88 Fed. Reg. 49364, 49371 (2023).

States.⁷ Google in 2021 reported that less than 10% of the reviews on its platform violated its policy regarding fake reviews.⁸ Tripadvisor found in 2021 that 3.6% of the reviews violated its policy.⁹

These data suggest that the FTC is considering an issue that the major platforms have earnestly addressed; the data show that, despite the large number of customer reviews handled on a daily basis on those platforms, the percentage of actual incidence of fake reviews is insignificant. Also, these companies are acting. They are devoting substantial resources to building the technologic infrastructures to further reduce the number of fake reviews reaching consumers. For example, Amazon reported that in 2021 alone it invested more than \$900 million and employed more than 12,000 people dedicated to protecting customers and its store from fraud and other forms of abuse.¹⁰ The record already shows that Amazon's technology has been very effective in identifying and removing fake reviews.

The FTC and industry have effectively worked together to understand how customer reviews implicate the Section 5 principles that have been described in the Endorsement Guides. ANA does not assert that there are no challenges in this area; rather, ANA believes that the iterative process of enforcement, education, and policy articulation by the FTC is the best way to continue the cooperation, progress, and balance between consumer protection interests and the ability of marketers to effectively communicate information about their products and services in all existing and emerging contexts. As the balance of these Comments outlines, and consistent with ANA's comment to the ANPR, ANA does not believe that rulemaking is warranted, wise, or a balanced approach, in part because it raises serious First Amendment concerns. In response to the FTC's specific request for comments as to the particular Proposed Rules, ANA offers specific suggestions for the FTC's consideration.

II. THE RECORD DISCLOSES THAT "FAKE REVIEWS" CONSTITUTE A SMALL PERCENTAGE OF ALL CUSTOMER REVIEWS AND THAT MAJOR PLATFORMS ARE AGGRESSIVELY ADDRESSING THE ISSUE THROUGH TECHNOLOGICAL ADVANCES WHICH WILL NOT BE ADVANCED BY DRACONIAN RULES

There is evidence in the record that the major commercial platforms experience fake reviews as a small percentage of the total volume of reviews, which contradicts the FTC's basic premise that the problem is so prevalent that regulation is required. Furthermore, the record demonstrates that, to the extent there is an incidence level of fake reviews between 4% - 10%, this level of detection and remediation is occurring with technology in place since 2021. Given the importance of consumer reviews and customer ratings, new technology is likely to emerge. It is unclear, however, whether a new trade regulation that seeks to punish platforms for only ensuring that 90% - 96% of reviews are valid will speed up the development of new technologies or simply burden these companies trying to develop and implement new and better technology. The record based on the ANPR presents a picture that reflects industry awareness of the issues and a significant desire and incentive to improve existing technology

⁷ 88 Fed. Reg. at 49366 (2023).

⁸ *Id.*

⁹ *Id.*

¹⁰ *Id.*, at 49367.

without a new regulation, and the FTC's NPRM provides no indication why a new regulation would enhance or expedite the development of even better technology.

As ANA outlined in its comment to the ANPR, a well-designed rule would focus on a defined trade.¹¹ The record to date does not establish that customer reviews, the use of those reviews, or the dissemination of those reviews by commercial platforms is itself a defined trade. However, the record does suggest brokers that buy and sell fake reviews may be a defined trade. The FTC has already used its regulatory power to take action against such brokers.¹² Amazon has placed into the record evidence that such brokers are a prevalent problem, and it has initiated private lawsuits against many such entities to protect its platform and consumers.¹³ This level of activity – both by the FTC and by private interests – may suggest that the FTC could develop a trade regulation rule that focuses on this particular trade (i.e., brokers making money on the buying and selling of fake reviews). ANA would support such a targeted rule to identify ways in which businesses that specialize in the generation, procurement, and/or syndication of customer reviews can grow in a responsible way. Such a rule would give guidance to an industry that may provide useful services to industry and consumers and draw bright lines on what aspects of the industry violate principles of fair and non-deceptive commercial activity.

The fact that technologies exist and continue to emerge, producing a success rate in excess of 90% according to the data in the record, suggests that the FTC should encourage the continuing development of such technology and not burden companies trying to improve the review ecosystem. Moreover, it is unclear on the record why the FTC believes a rigid rule – as opposed to enforcement based on the revised Endorsement Guides – would somehow make new mitigation technology appear. More likely, a rigid rule would cause companies to permit fewer reviews, ensuring that consumers will receive less information (90% or more of which is not fake, according to the record). To the extent there is a defined trade that presents a prevalent problem for consumers and industry alike, the FTC should look more closely at whether regulating review brokers might be a helpful and targeted component of its overall regulatory approach to this growing and dynamic area of commerce.

III. THE DESIRE FOR MONETARY PENALTY AUTHORITY NOT GRANTED BY CONGRESS IS NOT A LEGITIMATE BASIS FOR RULEMAKING BY AN QUASI-INDEPENDENT AGENCY APPOINTED BY THE EXECUTIVE BRANCH

Congress granted the FTC rulemaking authority under Section 18 to deal with unfair or deceptive acts and practices that are “prevalent.”¹⁴ Indeed, as the FTC itself has recognized, “[b]efore commencing a rulemaking proceeding, the Commission *must* have reason to believe that the practices to be addressed by the rulemaking are ‘prevalent.’”¹⁵ In so doing, Congress made plain its intent that rulemaking

¹¹ See Association of National Advertiser Comments to Request for Public Comment, 16 CFR Part 465 (Fed. Trade Comm’n Nov. 8, 2022).

¹² *FTC v. Devumi, LLC*, No. 9:19-cv-81419-RKA (S.D. Fla. Oct. 18, 2019).

¹³ Amazon Staff, [Amazon continues to take action against fake review brokers](https://www.aboutamazon.com/news/policy-news-views/amazon-continues-to-take-action-against-fake-review-brokers) (March 2, 2023), <https://www.aboutamazon.com/news/policy-news-views/amazon-continues-to-take-action-against-fake-review-brokers>.

¹⁴ 15 U.S.C. Sec. 57a(b)(3).

¹⁵ A Brief Overview of the Federal Trade Commission's Investigative, Law Enforcement, and Rulemaking Authority (May 2021), <https://www.ftc.gov/about-ftc/mission/enforcement-authority>.

pursuant to Section 18 is permissible *only* where such reasonable belief of prevalence exists.¹⁶ Congress' inclusion of the word "only" leaves no room for the Commission to now propose or make rules for any "other" reason, including deterrence through monetary penalties.

More broadly, Congress authorized the FTC to promulgate Trade Regulation Rules to advance the goals of the FTC Act. While it may be fathomable that seeking enhanced monetary penalties could advance the goals of protecting consumers, the Commission's ability to obtain monetary relief is provided under other statutory sections of the FTC Act (e.g., Section 19, Section 5(m)). Further, monetary relief was specifically excluded from "injunctive relief" under Section 13(b).¹⁷ Thus, Congress has identified where civil penalties can be imposed and under what circumstances. Because Congress specified the reasons and criteria upon which the FTC could promulgate trade regulation rules that would impose civil penalties for violations, it intended that these are the exclusive reasons and criteria that should be applied. To propose rules for other purposes would take from Congress power it has not ceded. Put another way, an agency cannot legislate its own power for purposes of enhancing that which only Congress can give. Where the Commission has explicitly expressed other motives for rulemaking, it is imperative that the FTC demonstrate "prevalence." Any failure to do so would ignore the limiting language of the statute and place courts in the position of having to review a rule whose statutory basis does not exist while confronting evidence of an extra-statutory purpose. Whether a rule can have a legitimate purpose and an extra-statutory purpose is a difficult question which is better answered by satisfying the specific statutory authorization of Section 18. The FTC should not promulgate a rule solely because the augmented penalties attendant to a rule violation could ostensibly advance a Commission goal generally. To do so would exceed the agency's limited authority impermissibly.

Yet, this is precisely what the FTC proposes to do. The rationale set forth in the NPRM could not be clearer: the FTC's objective is to deter unfair and deceptive acts or practices involving customer reviews by expanding the remedies available to it when bringing enforcement actions.¹⁸ Tellingly, the FTC follows its stated desire to expand its remedial powers only through a recitation of the unanimous holding in *AMG Capital Management*.¹⁹ The FTC describes the matter as if the Supreme Court had usurped a right given to it by Congress; but, in fact, the Supreme Court merely confirmed that Congress had never given the FTC the ability to seek monetary penalties under Section 13(b). According to the Commission, it was the Supreme Court that exercised unwarranted overreach into the realm of the Executive Branch by making it "significantly more difficult for the Commission to return money to injured consumers."²⁰ The FTC makes clear on the record that its reason for the Proposed Rule is to obtain what Congress did not grant, namely the ability to impose monetary penalties for what otherwise would be a violation of Section 5 of the FTC Act. This is not just an expansion of the FTC's "toolkit."²¹ As discussed above, the FTC has a cabinet full of useful implements to address endorsement and

¹⁶ 15 U.S.C. Sec. 57a(b)(3) ("The Commission shall issue a notice of proposed rulemaking pursuant to paragraph (1)(A) *only* where it has reason to believe that the unfair or deceptive acts or practices which are the subject of the proposed rulemaking are prevalent." (emphasis added)).

¹⁷ See *AMG Cap. Mgmt., LLC v. Fed. Trade Comm'n*, 141 S. Ct. 1341, 1352, 209 L. Ed. 2d 361 (2021).

¹⁸ 88 Fed. Reg. at 49377.

¹⁹ See Request for Public Comment, 16 CFR Part 465 (Fed. Trade Comm'n July 31, 2023); *AMG Cap. Mgmt., LLC v. FTC*, 141 S. Ct. 1341, 1352 (2021).

²⁰ *Id.*

²¹ *Id.* 49378.

testimonials in all their contexts and applications. Without any administrative restraint, the FTC makes clear that its objective is to “seek civil penalties against violators and obtain redress for consumers...”²² As the National Automobile Dealers Association (NADA) succinctly stated on the record, “monetary penalty authority alone is not reason enough to issue a rule.”²³ We agree.

Of course, the FTC *does* have authority to promulgate a rule under Section 18 to deal with unfair or deceptive acts and practices that are “prevalent.” Here, despite the Commission’s primary intention to legislate its own remedial powers, the FTC also purports to set forth the case for rulemaking based on “prevalence.”²⁴ Yet, the FTC fails to show how enforcement actions, many of which were settled by consent order, translate into “prevalence.”²⁵

One example of the threadbare case for prevalence relates to the Proposed Rule’s so-called “review hijacking” or the reuse or repurposing of customer reviews. The FTC describes one recent consent order,²⁶ presenting this case as if it were a proceeding brought against Amazon.com. Rather, it was a case involving one company that advertised on Amazon.com. The company identified various dietary supplements as “variations” on the Amazon platform, which had the effect of connecting several different types of dietary supplements to one set of customer reviews, thereby enabling the advertiser to take advantage of a larger number of reviews and potentially mask less favorably rated products. As we note below, the Proposed Rule fails to consider how an advertiser or a platform would be able to appropriately differentiate between true “variations” and differences in products that should give rise to separate sets of customer reviews.²⁷ Yet, even if the rule were well-crafted – which it is not – it would not be supported by a rationale that even remotely suggests “prevalence.” As noted, the FTC has placed into the record one enforcement action. We are not aware of any rulemaking in which the FTC has premised its authority under Section 18 on one consent order. Beyond that solitary action, the FTC points to articles published by third-party consumer magazines, such as Consumer Reports and Internet outlets such as BuzzFeed and Verge. Citing phrases describing the practice as an “acute problem” and a “common tactic,” the FTC concludes that it is justified in embarking on Section 18 rulemaking. Even if these articles constitute “other information” from which evidence may be derived, the basis for finding “prevalence” for purposes of rulemaking is tenuous at best.

This example demonstrates mere lip service to the statutory requirement of “prevalence,” in violation of our constitutional system of checks and balances and separation of powers. Because Congress specified the reasons and criteria upon which the FTC could promulgate trade regulation rules that would impose civil penalties for violations, it meant that those were the exclusive reasons and criteria that should be applied, even if the Commission, exercising its discretion, believes that there might be other criteria that

²² *Id.*

²³ *Id.* at 49369.

²⁴ *Id.* at 49370-49377.

²⁵ Section 18 of the FTC Act requires that the FTC must have reason to believe (in the form of FTC cease and desist orders or other evidence of widespread conduct) that the practices are prevalent. Indeed, any Notice of Proposed Ruling must include this prevalence “with particularity.” The FTC has failed to show prevalence with particularity in its NPRM, which is required by the FTC Act.

²⁶ Decision and Order, *In re The Bountiful Company*, FTC Docket No. C-4791.

²⁷ See *infra* Section V(C) (§ 465.3 Consumer Review Repurposing).

would advance general FTC consumer protection goals. Unless the FTC can demonstrate “prevalence,” the FTC cannot promulgate a rule solely because the augmented penalties attendant to a rule violation could ostensibly advance a Commission goal generally. To do so would exceed the authority granted to the quasi-independent agency and the commissioners who have been appointed (or reappointed) by a sitting President.

In sum, the FTC on the current record lacks justification to proceed with rulemaking under Section 18 at least to the extent it has failed to show a “prevalent” incidence of unfair or deceptive acts or practices in U.S. commerce. The record shows in many instances the incidence of “fake reviews” is something that affects less than 10% of all customer reviews. In addition, the record shows that there is at least one specific Proposed Rule that is supported by nothing more than one recent consent order and a few sensational consumer articles scattered over the last five years. Combined with the FTC’s statement of its intention to claw back civil penalty authority (which it never lawfully possessed under Section 13(b)), it is clear that the FTC is seeking to use its rulemaking authority to augment its enforcement power beyond that which Congress granted. This is both ill-advised for a quasi-independent agency and an unwarranted attempt to usurp constitutional authority from Congress.

IV. THE PROPOSED RULE WILL LIKELY CHILL PROTECTED COMMERCIAL SPEECH IN VIOLATION OF THE FIRST AMENDMENT OF THE U.S. CONSTITUTION

The ANA urges the FTC to reconsider its proposal to promulgate sections 465.4 and 465.7(a) of the Proposed Rule on the ground that these provisions likely would infringe upon the free speech rights of businesses if promulgated as drafted. The ANA describes its constitutional objections to these draft provisions below.

A. Section 465.4. Providing incentives in exchange for positive reviews.

The Proposed Rule provides that a business engages in an unfair or deceptive act or practice and violates the rule if it provides compensation or incentives for, or conditioned on, the writing or creation of reviews “expressing a particular sentiment, whether positive or negative” § 465.4. The problem with this rule, as drafted, is that it sweeps too broadly and does not take into account the possibility that a business could disclose its incentives to the consumer, thus rendering any review procurement and resulting reviews fair and non-deceptive. Because the First Amendment protects non-deceptive commercial speech, the FTC may not bar it.

The First Amendment protects commercial speech.²⁸ It does not protect deceptive commercial speech.²⁹ Apart from permissible prohibitions on deceptive content, the general rule is that the speaker and the audience, not the government, assess the value of the information presented.³⁰ As such, the government has no legitimate interest in suppressing non-deceptive speech based on its judgment about the value of

²⁸ *Central Hudson Gas & Elec. Corp. v. Pub. Serv. Commission*, 447 U.S. 557, 561 (1980).

²⁹ *See id.*

³⁰ *United States v. United Foods*, 533 U.S. 405, 411 (2001).

the information presented. Bans that target truthful, non-misleading commercial messages rarely protect consumers.³¹

The proposed rule threatens legitimate commercial activity because it appears to bar incentives for writing positive reviews in most ordinary circumstances, even when disclosures would eliminate any material risk of misleading consumers. On its face, the rule applies only to incentives offered in exchange for reviews expressing a “particular sentiment.” But a reasonable consumer would infer that a business prefers positive reviews, and so even a neutral request such as, “Write a review and receive a discount off your next purchase,” might be construed as impliedly requesting a positive review. The Commission appears to recognize this possibility because the NPRM asks whether the “proposed prohibition” should “distinguish in any way between an explicit and implied condition that a consumer review express a particular sentiment.”³²

The Proposed Rule does not clarify what “particular sentiment” means. The phrase could mean that businesses cannot dictate the content or specifics of a review to the consumer. On the other hand, it could mean that the business cannot expressly or impliedly indicate that it prefers positive reviews. If the Commission construes its own rule to mean that a business may not implicitly seek positive reviews in exchange for incentives, then the rule could apply to such offers as, “Tell us how much you loved your visit to John’s Steakhouse and get a \$5 coupon” or “Tell your friends about all the fun you had at Jane’s Arcade for a chance to win prizes.” Businesses may prefer to use these enthusiastic and positive messages when seeking reviews, as opposed to less inspiring messages like, “Write a review and save 10% next time.” There is nothing inherently wrong with encouraging positivity, so long as the resulting reviews are not deceptive.

The Supreme Court has repeatedly held that disclosure is the antidote for alleged harms arising from speech. Disclosure is a less restrictive alternative to more comprehensive regulations of speech.³³ While disclosure requirements themselves may implicate the First Amendment, they “trench much more narrowly on an advertiser’s interests.”³⁴ Here, a business could easily avoid any risk of confusion or deception by explaining how it solicited the reviews it displays. For example, in the example above, the business could state, “We asked customers to tell us how much they loved their visit to John’s Steakhouse, and here’s what some of them said! (customers who submitted reviews received a \$5 coupon).” With the benefit of this disclosure, a consumer reading the reviews would understand the context and there would be no confusion or deception.

Because a business can offer incentives in exchange for positive reviews without confusing or deceiving customers, depending on the context and accompanying explanations, a categorical prohibition on the practice would unconstitutionally infringe upon protected commercial speech. To avoid that outcome, the ANA respectfully submits that the Commission should delete section 465.4 or modify it to clarify

³¹ 44 *Liquormart v. Rhode Island*, 517 U.S. 484, 502-03 (1996).

³² 88 Fed. Reg. 49389.

³³ *Citizens United v. FEC*, 558 U.S. 310, 369 (2010).

³⁴ *Zauderer v. Office of Disciplinary Counsel of Supreme Court*, 471 U.S. 626, 651 (1985).

that a business may offer incentives for positive reviews so long as it discloses its review incentive program when displaying the resulting reviews to consumers.³⁵

B. Section 465.7(a). Making a “false accusation” in an attempt to prevent a consumer review from being written or created or cause a consumer review to be removed.

The Proposed Rule provides that a business engages in an unfair or deceptive act or practice and violates the rule if it uses or makes a “false accusation in an attempt to prevent a consumer review or any portion thereof from being written or created or cause a consumer review or any portion thereof to be removed[.]” § 465.7(a). This provision is a content-based regulation of speech that would not survive applicable judicial scrutiny. Accordingly, as drafted, courts would not enforce it and would instead enjoin enforcement under the First Amendment.

Courts may begin their analysis by assessing whether the speech or expressive conduct at issue is entitled to any protection under the First Amendment. The proposed regulation relating to false “accusations” regulates “pure speech,” not conduct, because it applies to the use of words to convey a message.³⁶ Pure speech is, of course, entitled to protection unless the speech falls within a category of communication that courts have traditionally exempted from constitutional protection.

No branch of government has “freewheeling authority to declare new categories of speech outside the scope of the First Amendment.”³⁷ This includes statements that are allegedly “false.” “Even false speech receives some constitutional protection.”³⁸ While the ANA’s members have no interest in intentionally using or making false statements, experience teaches that even people of good faith may contest the truth or make mistakes. The constitutional protections for false speech derive from this practical reality and the recognition that, to encourage dialog, our law must create space for errors that result in false statements.

Consider the following dispute: A customer visits a restaurant. The host seats him and his companions closer to the kitchen than he would like and is unable to accommodate his request for a different table. The customer becomes increasingly agitated by the location’s noise and a perceived indifference of the staff. After the customer has made several rude comments to a server, the customer was asked to leave by the manager. The customer shouts profanities at the manager as he leaves. That evening, while intoxicated, he posts a review that states the restaurant mistreated him because of race. The restaurant owner, who was not at the restaurant at the time of the incident and subsequently spoke to the manager, asks the customer to remove the review, strongly denying that her staff treated the customer differently because of race or another such characteristic. The restaurant owner also states that, if the customer had only asked for a different table, the host would have found him one. This statement was false insofar as the customer did ask and the host refused his request. In addition, although the customer made rude comments to servers, the restaurant owner mistakenly attributes certain rude comments to the customer

³⁵ The ANA’s members have no interest in offering incentives in exchange for *negative* reviews of a competitor, but the ANA notes that a disclosure accompanying such reviews likewise would remedy concerns about confusion or deception.

³⁶ See, e.g., *303 Creative LLC v. Elenis*, 143 S. Ct. 2298, 2312 (2023).

³⁷ *Friend v. Gasparino*, 61 F.4th 77, 88 (2d Cir. 2023) (quotation marks omitted).

³⁸ *Susan B. Anthony List v. Driehaus*, 814 F.3d 466, 473 (6th Cir. 2016).

that the customer never made. Does the restaurant have liability for engaging in an unfair or deceptive act or practice under the Proposed Rule?

The First Amendment should protect the restaurant owner from liability under these facts, and the Commission should not require businesses to assert First Amendment defenses to counteract the effects of overbroad regulations. The pure speech at issue in this example is not commercial speech because it does not propose a commercial transaction.³⁹ Rather, the restaurant owner presumably does not want the customer to return and instead is defending the reputation of the business in a dispute about historical facts. Because the speech is not commercial speech, the content-based regulation of the restaurant owner's dispute-resolution-related speech would be subject to strict scrutiny.⁴⁰ Content-based regulations are presumptively unconstitutional and may be justified only if the government proves that they are narrowly tailored to serve compelling state interests.⁴¹

The Proposed Rule is not narrowly tailored to serve a compelling state interest because it applies regardless of the magnitude of the alleged error or intent or state of mind of the business that makes the false statement. The above-referenced example illustrates the point. Assume that the restaurant owner is correct about the salient core issue: the staff did not discriminate against the customer, although the owner inadvertently makes false statements about some of the particulars. In this situation, the owner was fully justified in asking the customer to take down his defamatory and harmful review; the customer's vengeful review is what misleads the public. Nevertheless, the Commission's Proposed Rule hands a weapon to every consumer and credulous regulator, thus tilting the playing field away from truth and toward those who wish to leverage the threat of bad reviews against businesses large and small.

To tailor the Proposed Rule to serve a compelling interest in prohibiting unfair or deceptive acts and practices, the Commission should consider deleting the "false accusation" part of section 465.7(a) or modifying that part to include requirements analogous to those that courts have imposed in the defamation context to ensure that tortious claims or penalties do not unduly limit free speech.

V. TO THE EXTENT THE FTC PROCEEDS WITH RULEMAKING, ANA RECOMMENDS CHANGES TO SPECIFIC PROVISIONS IN THE PROPOSED RULE

Beyond the high-level concerns outlined above, ANA responds to the FTC's request for comments in connection with its NPRM by providing specific input on each substantive section of the Proposed Rule.

A. § 465.1 Key Definitions: "Clear and Conspicuous"

The definition of "clear and conspicuous" is an intentionally ambiguous performance standard. The FTC defines clear and conspicuous as a required disclosure that is easily noticeable (i.e., difficult to miss) and easily understandable by ordinary consumers. As the ANA has commented previously, the "clear and conspicuous" standard traditionally has been applied as a "performance standard," meaning that it communicates a desired outcome. The FTC has used various policy statements and other

³⁹ See *Harris v. Quinn*, 573 U.S. 616, 648 (2014).

⁴⁰ See *Barr v. American Ass'n of Political Consultants*, 140 S. Ct. 2335, 2347 (2020).

⁴¹ *Reed v. Town of Gilbert*, 576 U.S. 155, 163 (2015).

guidance (such as the Dot-Com Disclosures Guidelines) to provide suggestions as to how marketers can achieve that standard. In some instances, it made sense to provide more detail about what would constitute “clear and conspicuous” disclosure, particularly in consent orders where the Commission is fencing in an alleged wrongdoer. It also made sense in the context of the Dot-Com Disclosures Guidelines, especially those that were initially issued in 2000, to address how the “clear and conspicuous” standard should be applied in the then-new context of webpage, e-commerce, and banner advertising.

As ANA noted in its comments related to the revised Guides, the addition of a “clear and conspicuous” definition was superfluous, and potentially unconstitutional. The FTC did not need a definition because the Guides would have been effective merely by saying that a required disclosure (e.g., of a material connection under 16 C.F.R. § 255.5) must be “clear and conspicuous.” That phrase (like “deception” and “unfairness”) has a meaning under FTC jurisprudence. There was no need for the FTC to define it, particularly in guidance that was medium and context agnostic. Furthermore, there were constitutional problems with defining the phrase “clear and conspicuous” through other ambiguous phrases such as “unavoidable” and “easily noticed” and that were fluid depending on the sophistication of the audience. Those constitutional problems were intensified by the Proposed Rule. Now, the intentionally ambiguous performance standard not only has the force of law, it comes with civil penalties for violations.

Based on the Proposed Rule, a marketer would be required to take intentional steps to ensure that the disclosure was noticed, read, and understood. Because the Proposed Rule incorporates the exact definition from the Guides, one may reasonably surmise that the FTC intends that its examples used in the Guides provide examples of violative behavior under the Proposed Rule. For example, Example 5 in Section 255.5 of the Guides provides that, if actual patrons of a restaurant knew that they may be interviewed by an advertiser as part of its television promotion of its new “meat-alternative” burger, the advertiser must clearly and conspicuously inform viewers that the patrons knew that they might appear in a TV advertisement because the information could affect the weight of the endorsement. The “clear and conspicuous” standard in the context of traditional enforcement would be applied because consumers were actually surprised that the endorsers knew that they were going to have a chance to appear on TV. Therefore, the consumer complaint would have suggested that they had no idea and that they did not see or understand that disclosure. The FTC could have enforced Section 5 by arguing that the advertiser failed to provide material information that would have allowed potential purchasers to make an informed decision about whether to buy the “meat alternative” product or not. The advertiser would argue that it did disclose that information, and the FTC *could* respond that the disclosure was inadequate and did not work and thus did not satisfy a performance standard. However, if there are few consumer complaints about this same testimonial, then the disclosure probably is working.

In contrast to how the “clear and conspicuous” standard would have been rationally applied under normal Section 5 enforcement principles, under the Proposed Rule the FTC does not need to prove deception or unfairness. It merely needs to prove that the marketer broke the Proposed Rule. Incorporating the Guides’ definition of “clear and conspicuous” – which already raised constitutional issues – now clearly heightens the constitutional concerns because all the FTC needs to show is that the advertiser did not place a disclosure in a particular way on a website or on a review platform. There is no need for the FTC to determine whether the resulting speech is rendered deceptive, untrue, or inaccurate. The Proposed Rule would impose civil penalties because the marketer did not speak in the

way the government wanted it to speak. Because of the constitutional issues raised and the Commission's departure from its long-held approach to "clear and conspicuous" as a performance standard, the Proposed Rule should not contain a definition of "clear and conspicuous" that could lead to the imposition of civil penalties.

B. § 465.2 Fake or False Consumer Reviews, Consumer Testimonials or Celebrity Testimonials

Section 465.2 of the Proposed Rule prohibits a person from purchasing a consumer review, disseminating a testimonial, or procuring a consumer review for posting on a third-party platform or website if the business knew or should have known that the review or testimonial: (a) was by someone who does not exist; (b) is by someone who did not use or otherwise have experience with the product, service, or business; or (c) materially misrepresents the reviewer's or testimonials' experience with the product, service, or business. The ANA takes issue with the way in which this provision is drafted. On its face, the Proposed Rule would prohibit the use of a dead person's endorsement because arguably that person does not exist.

Further, the FTC does not explain what constitutes an "actual experience." For example, if a person saw the label, did that person "actually experience" it? What if that person tasted one item that was purchased at a restaurant once, but never actually visited the restaurant or purchased an item from the store; did they actually experience the product or service? What if the testimonial features an actor portraying an actual reviewer and it is clear that it is an actor portrayal? Finally, it is unclear if the third element – materially misrepresenting the experience with the product or service – relates to the experience or an opinion about the product or service. Thus, as a starting point, the Proposed Rule's identification of three disjunctive components of a violation is awkward and rigid.

Additionally, proposed Section 465.2 is overbroad, and the FTC has failed to consider the negative consequences of that overbreadth and reasonable alternatives that might avoid them. As an initial matter, the language used in sections 465.2(b) and 465.2(c) raises significant concerns about the imposition of liability on a business that "disseminate[s] or cause[s] the dissemination" of a testimonial or "procure[s] a consumer review" that the business knew or should have known was fake or false, as defined by the Proposed Rule.⁴² These terms are vague and require clarification to avoid sweeping in companies such as online retailers that host consumer reviews and testimonials and engage in activities such as organizing, moderating, aggregating, and prompting the submission of reviews and testimonials. The NPRM's commentary acknowledges that this provision would not apply to "any reviews that a platform simply publishes and that it did not purchase," or to "businesses, like third-party review platforms, that disseminate consumer reviews that are not of their products, services, or businesses," but it does not expressly acknowledge that this same reasoning applies to online retailers that allow reviews and testimonials to be hosted on their websites.

⁴² 16 C.F.R. § 465.2(b)-(c).

We urge the FTC to confirm that liability under this section would require the company to do more than host reviews/testimonials. Without this confirmation, this section will have significant negative consequences that the Commission has failed to consider. For example, this section will result in the suppression of reviews and testimonials, as companies attempt to mitigate their risks. This outcome will deprive consumers of useful and non-deceptive information about products as well as limit the ability of new businesses to use reviews and testimonials to promote themselves. It will likely also have a negative impact on consumer privacy, as some companies might choose to mitigate their risk by imposing authentication measures that require additional personal information from consumers before allowing them to review a product. Furthermore, focusing on legitimate companies that host reviews will accomplish little to stop the bad actors that create and spread fake or false reviews and testimonials online. Many of our members are already making significant efforts to combat fake reviews, and focusing a rule on these companies rather than bad actors does not address the source of the problem. Instead, it will impose significant costs on legitimate businesses, when a rule targeted at the behavior of these bad actors would be a much more effective and efficient mechanism to address the problem. Finally, we have concerns that the Commission lacks the authority to extend this section to review hosting activities using its Section 5 rulemaking authority because of their attenuated connection to unfair or deceptive acts or practices.⁴³ By not acknowledging and assessing these risks and concerns, the Commission has failed to consider an important aspect of the problem in violation of the Administrative Procedure Act (APA).

If the FTC nevertheless attempts to regulate review hosting, the ANA recommends that the Commission adopt an actual knowledge standard and create a safe harbor for review hosting when the company has reasonable processes in place to identify and remove fake reviews. As discussed above, many well-intentioned companies are already working hard to uncover the deceptive activities of bad actors; however, it is challenging and complicated to eradicate all such activity. A “should have known” standard for failure to uncover the deception of third parties will not only be tremendously costly, but will disincentivize companies from allowing reviews or testimonials on their websites at all. Instead, a business should be required to possess actual knowledge of the inauthenticity of a review or testimonial in order to trigger liability under this section. This higher standard is a reasonable alternative that the NPRM does not consider, as it would better ensure that the rule targets companies that are actually contributing to the proliferation of inauthentic reviews by failing to stop such conduct despite having actual knowledge of it. Second, a safe harbor would encourage companies to adopt reasonable processes to identify fake reviews, while not exposing these legitimate businesses to extensive civil penalty liability. This approach will keep the rule targeted at bad actors.

If the Commission rejects this argument and imposes a “should have known” standard, the Commission must provide greater clarity about what sorts of indicators of inauthenticity would provide companies with sufficient notice to trigger liability. Without that guidance and faced with the risk of significant civil penalty exposure for failing to stop the actions of undiscovered third parties, many businesses would likely be deterred from using consumer reviews or testimonials at all. This outcome will deprive

⁴³ Trade Regulation Rule on Impersonation of Government and Businesses, 87 Fed. Reg. 62741, 62747 (Oct. 17, 2022) (stating that the Commission could not adopt liability for “facilitation” activities because the “TSR provides express statutory authorization for assisting-and-facilitating liability, a form of indirect liability. Sections 5 and 18 of the FTC Act contain no such express authorization”).

small businesses of an important tool to spread the word about their businesses and consumers of useful information, while doing little to stem the tide of fake reviews.

C. § 465.3 Consumer Review Repurposing

In Section 465.3 of the Proposed Rules, the FTC states that a consumer review cannot be used or “repurposed” for one product so that it appears to have been written or created for a “substantially different product.” The FTC also refers to “repurposing” as “review hijacking.” The use of these various terms that fail to provide clarity as to when an act would be deceptive or unfair makes this specific rule particularly problematic.

The FTC has used the facts of one case and generalized them so broadly as to capture any number of activities that may or may not be materially misleading. The only enforcement action to which the FTC points in order to assess the prevalence of the deceptive act or practices justifying the rule is *The Bountiful Co.*, No. C-4791 (Apr. 10, 2023). In that matter, the FTC alleged that the advertiser had taken advantage of certain features on Amazon.com that permit sellers to offer products that come in different varieties under one set of customer reviews. The FTC alleged that the advertiser purposefully used platform functionality in a manner that created “variation relationships” between different dietary supplements in an effort to boost the perception that certain products were highly rated when in fact the reviews related to only one of the products. Doing this, according to the FTC, allowed the advertiser to mask the fact that a product might be rated poorly or may be new and may not have many reviews. The FTC alleged that this manipulation of platform functionality misled consumers into believing that a product was more highly rated than it actually was or that a greater number of consumers had a positive experience with a product than was actually the case in violation of Section 5 of the FTC Act.⁴⁴ That *The Bountiful Co.* case presented facts that may have materially misled consumers is not in dispute here. The advertiser settled the charges. Yet, one consent order on one set of facts is an inadequate basis for “prevalence,” and it almost certainly is a poor basis on which to construct a rule that is designed to apply to myriad scenarios. The FTC “hijacked” the facts of one case in order to create a general rule that will ostensibly apply to any number of factual situations.

Having identified that there is a potential risk that bundling variations of products under one set of customer reviews can mislead consumers, the FTC readily can explain how this can play out in certain circumstances either in its Endorsement Guides⁴⁵ or in a business guidance document such as “FTC’s Endorsement Guides: What People Are Asking.”⁴⁶ It can provide examples of ways that such bundling

⁴⁴ The FTC also alleged that the practice was a violation of Section 12 because the misrepresentation related to the dissemination of false advertising to induce the purchase of food, drugs, devices, services, or cosmetics.

⁴⁵ The FTC’s revised Endorsement Guides contain a new § 255.2(d), stating “In procuring, suppressing, boosting, organizing, publishing, upvoting, downvoting, reporting, or editing consumer reviews of their products, advertisers should not take actions that have the effect of distorting or otherwise misrepresenting what consumers think of their products, regardless of whether the reviews are considered endorsements under the Guides.” The concept of “organizing...consumer reviews” in a manner that distorts or otherwise misrepresents “what consumers think of their products” is already embodied as a broad and flexible standard that may be enforced under § 5 and possibly § 12 as illustrated by the *Bountiful Co.* case.

⁴⁶ Currently, the FTC’s business guide does not expressly incorporate the scenario contemplated by the *Bountiful Co.* case. However, it could easily update the FAQ with the heading “The Guides talk about deceptively organizing customer reviews. Can you give an example of deceptive organizing?” The FTC staff could simply provide another example where an

of products can mislead consumers, as exemplified by the 2023 consent order with The Bountiful Co. ANA urges the FTC particularly in this instance to rely on Section 5 enforcement because of its flexibility and focus on acts and practices that deceive or are unfair. A rigid rule is especially inappropriate for this purpose and threatens to prohibit many innocuous practices that benefit consumers and are nondeceptive.

The risk of the Proposed Rule covering non-misleading, nondeceptive bundling of related products is real and would interfere with common modes of marketing. For example, consider an air freshener that is offered in 15 different SKUs, each with a different fragrance, and each with the same technology for timed release and duration. Consumers will have varying subjective preferences for “Evergreen Winter” over “Sunflower Sunshine” fragrance, but the advertiser reasonably believes that consumers find most material to their purchasing decision whether the fragrance is released over time and how long the product continues to produce fragrance. Offering these 15 SKUs under the same customer reviews would help consumers to understand that the advertiser’s brand of air freshener has the material features that differentiate it from other air fresheners. Consumers are not likely to be misled by the fact that some consumers only purchased one fragrance or would never purchase an air freshener with a particular scent. Under the Proposed Rule as currently written, however, each of these SKUs would need its own individual product page and individualized reviews. Scent is not included as one of the four permitted attributes (i.e., color, size, count, or flavor) that the FTC has identified as being immaterial to consumers.

Continuing with the air freshener example, assume that the best-selling SKU in the marketer’s line of air fresheners is a “Summers in Italy” fragrance. It contains an orange blossom fragrance oil that provides its aroma. The key material functional features of the air freshener – time release and duration – are constant, however, because of a supply chain issue, the manufacturer needs to switch out the oil used in the product. The fragrance is now slightly different but is identical in every other respect. Under the Proposed Rule would the brand be required to discard all the reviews for that product? It would appear that the Proposed Rule could impose civil penalties on the marketer if it did not set up an entirely new page and start over with reviews. To be clear, there may be good reason to alert consumers to the change, particularly if the marketer knows that the product’s popularity is due to its unique orange blossom fragrance. But, in the real world, marketers do product testing to determine whether consumers are likely to find the fragrance change materially detrimental to sales (that is, will consumers be likely to approve of the change). If the brand believes that the fragrance is as pleasing as the former formulation, why would it be deceptive for the marketer to present the product as it has on the existing product page with the same customer reviews, absent an express or implied representation that the product is the original, unchanged formulation? Certainly, if consumers are unhappy with the change, they will leave negative reviews, and the product rating will drop. The marketplace (consumers together with brands) should be permitted to function freely. Yet, faced with potential civil penalties under the Proposed Rule, the marketer will experience uncertainty as to whether it can let consumers decide whether they like the fragrance change and may deny themselves and potential customers the benefit of past consumer reviews that may not even be focused on fragrance.

advertiser combines products that are substantially different in a material way under one set of customer reviews in a manner that is likely to mislead the target audience as to how reviewers actually rate one or more of the products shown.

These examples focused on the air freshener underscore how nuanced the analysis of materiality can be and how the Proposed Rule threatens to impose a rigid, inflexible approach to enforcement. Indeed, the identification of “color, size, count, or flavor” as essentially safe harbors under the definition of “substantially different product” could produce consumer harm. This is one of the problems when the Commission manufactures a trade regulation rule from the facts of one case.⁴⁷ Its approach here results in the “repurposing” of a consent order in a way that is inflexible and could even increase consumer deception. Why might color, size, count, or flavor not be material to consumers? It will depend on the facts of the individual case, which is precisely why the FTC should abandon this particular proposed rule and instead continue to rely on its potent enforcement capabilities under Section 5. Just as color (think: paint tones); size (think: display screens with various resolutions); count (think: lens options for a telescope); or flavor (think: cough medicine) could be material (thus making the carve out *over-inclusive*), limiting the carve-outs in the “substantially different product” definition to only those four attributes is grossly *under-inclusive*. For example, consider sunscreen that comes in two or more different SPF ratings. They have the same fragrance, feel, ease of application, and other material attributes, yet under the Proposed Rule the marketer would need to give each one of its products a page and dissect whether consumers purchased the SPF 15 or the SPF 45 version. Again, the FTC should look at this sort of example on a case-by-case basis in order to determine if the bundling of reviews across the products is misleading in a material way. The Proposed Rule threatens to cause brands to have to discern the SPF to which the review relates – which may not be possible – or to eliminate the review entirely, which might itself violate the Proposed Rule if it removes useful or even negative experiences.⁴⁸

In sum, ANA urges the FTC to excise the “repurposing” section of the Proposed Rule. There are many possibilities for the FTC to address the various ways in which a marketer might organize or aggregate reviews in a manner that distorts or otherwise misrepresents what consumers think of such products or services. The Proposed Rule in this regard is clearly over- and under-inclusive, and it does not embody the flexibility that a good rule would possess.

⁴⁷ We note that these four attributes were included in the complaint as examples of how the “variation relationship” worked in the context of The Bountiful Co. consent order. They were not presented as attributes that were intrinsically non-deceptive. See *The Bountiful Co.*, No. C-4791 (Apr. 10, 2023). In fact, in the consent order itself, the FTC used the standard as set forth in the Endorsement Guides, § 255.2(d) in describing how the respondent’s actions were violations of § 5 and § 12 (requiring the advertiser not “organize ...consumer reviews or ratings of products or services in any manner that distorts or otherwise misrepresents what consumers think of such products or services.”).

⁴⁸ Consider two other potential examples of under-inclusiveness: Would the FTC’s Proposed Rule not permit variations concerning packaging (offering the product in a squeeze tube)? Consider also where a brand offers a bundled SKU (e.g., body wash and after-shower moisturizer), where each individual product is already existing in the marketplace. The bundled SKU offers a value to the consumer. Each product individually has a significant amount of consumer reviews as they each have been in the marketplace for many years. Under the Proposed Rule, the brand might be forced to start a new product page for the bundle, eliminating the ability of consumers to learn from others’ experiences with the products. To be sure, there might be situations where the bundling could mask one product’s poor ratings, and so it might be incumbent on the marketer to take that into account (e.g., by averaging the star ratings or by offering the ability to view the individual products through a link on the page). The Proposed Rule would not allow for these sorts of actions that provide useful, non-deceptive information to consumers.

D. § 465.8 Misuse of Fake Indicators of Social Media Influence

Section 465.8 of the Proposed Rule provides that it is an unfair or deceptive act or practice to (i) “sell or distribute fake indicators of social media influence ...” and (ii) “purchase or procure fake indicators of social media influence” The ANA takes issue with both the ambiguity of what would be a “fake” “indicator of social media influence” and the Commission’s attempt to use the facts of one case to develop a rule which would potentially capture a number of legitimate business activities aimed at helping businesses promote their products and services through increased social media followers.

Whereas the Commission often uses context-specific definitions to construct fencing-in provisions in connection with consent orders, the adoption of a newly coined phrase—“indicators of social media influence” — to capture a wide array of possible commercial activities is likely to cause confusion and lead to a stifling of truthful speech. The FTC defines its newly coined phrase—developed for the Stipulated Order in the *Devumi* case— to mean, “any metrics used by the public to make assessments of an individual’s or entity’s social media influence (such as followers, friends, connections, subscribers, views, plays, likes, reposts, and comments).” The Commission already sought to address the *Devumi* facts in its revised Endorsement Guides through an example that purports to describe how the Commission would define “fake” in the context of “indicators of social media influence.” In Example 13 of Section 255.0 of the Endorsement Guides, the Commission describes a motivational speaker who purchases fake social media followers to impress potential clients. The Commission notes it is a deceptive practice for users of social media platforms to purchase or create indicators of social media influence and then use them to misrepresent such influence to potential clients, purchasers, investors, partners, or employees or to anyone else for a commercial purpose. The Commission did not include a definition of “indicators of social media influence” in the Endorsement Guides. Other than looking at the single example in the Guides, it is difficult to understand how this section would be interpreted in the context of enforcement. This ambiguity is especially concerning where the rule carries the risk of civil penalties.

For example, what if the motivational speaker hired an advertising agency which suggested certain promotional activities, such as to follow the speaker to get alerts about future speaking engagement, which inevitably generates many likes or followers; did the motivational speaker “purchase” or “procure” fake indicators of social media influence? What if a business ran a social media sweepstakes whereby entrants must follow the business’ social media channel⁴⁹ and submit their entry in a comment with a disclosure that the comment was incentivized for a sweepstakes entry; would such action be a “misrepresentation?” Does “fake” only mean that the likes and followers were created by bots or through fake accounts? If a social media influencer were to recommend that their followers also follow another business’ social media account, would that also be “procuring” of “fake” indicators of social media influence? Because the FTC’s approach in this area is based primarily on one enforcement action, there is little context to indicate what is “fake”, and what it would mean to “misrepresent” the influence for commercial purposes and how consumers might be harmed in different circumstances. What otherwise could have been a matter of disclosure of material connections or may not be deceptive or misleading at all, could become a violation of the Proposed Rule simply because of

⁴⁹ Following on social media in connection with a social media promotion, such as a sweepstakes, is a common practice which enables businesses to easily search and review eligible entries.

the commercial activity associated with the procurement of the “likes” or “follows.” As it has already done with one example in the Endorsement Guides, the FTC can easily provide more examples in its Endorsement Guides or the accompanying business guidance documents. If the FTC means to capture a specific category of “likes,” “follows,” or other metrics that do not reflect any real opinions, findings, or experiences with the marketer or its products or services, it should make that intention more clear. Otherwise, the Commission’s actions will chill a vast amount of legitimate marketing practices.

* * *

ANA and its members remain committed to the principles underlying the Endorsement Guides, which have been the subject of the FTC’s enforcement activity over the last 20 years, particularly as social media has emerged and as customer reviews have become a material factor in how consumers make purchasing decisions. However, as these comments reflect, ANA has serious concerns about the need for this rulemaking and the way in which the Commission seeks to justify its rulemaking authority. ANA is particularly concerned that this rulemaking will have a chilling effect on truthful speech in violation of the First Amendment. Finally, ANA has offered suggestions as to how, if it proceeds, the FTC should clarify specific provisions of the Proposed Rule. ANA also points out practical problems with specific Proposed Rules that could result in significant burdens to its members and ultimately worse consumer experiences.

Respectfully submitted,

A handwritten signature in blue ink, appearing to read "John P. Feldman", followed by a horizontal line.

John P. Feldman
Reed Smith LLP

Cc: Christopher Oswald, Executive Vice President, Head of Government Relations
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